Chapter 8 — Long-Lived Assets

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Name ______________________ Date ______________

8.1 · Acquisition Cost of Equipment

Problem

Cedar Fair purchased two new rides for **$26,000,000**, paying **$13,000,000** cash and signing a note payable with 9% interest for the remaining amount. The note is payable in three years. Cedar Fair paid **$125,000** for transportation and **$1,200** freight insurance. In addition, the company paid **$625,000** for installation of the ride.

How much of these expenditures related to the new rides purchase should be capitalized?

Answer

8.2 · Capitalization of Interest During Construction

Problem

ABC Manufacturing is building a new factory. Construction began on January 1 and ended on December 31. During the year, ABC had the following:

- Construction expenditures: **$5,000,000** (on average throughout the year)
- General debt: **$10,000,000** at 6% interest
- Total interest incurred in the year: **$800,000**

Question 1. What is the total asset related to the construction (i.e., the building)?

Answer

Question 2. Why do U.S. GAAP and IFRS require interest incurred during construction to be capitalized rather than expensed?

Answer

8.3 · Brand Names

Problem

Williams-Sonoma, Inc. is a specialty retailer of products for the home. The retail segment sells through its retail concepts: Williams-Sonoma, Pottery Barn, Pottery Barn Kids, PBteen, West Elm, and Rejuvenation. The direct-to-customer segment sells similar products through direct-mail catalogs and e-commerce websites.

The Williams-Sonoma brand name is well known in the United States. Discuss why the company does not report its brand name as an asset on its balance sheet. Is the brand name reflected anywhere in its financial statements?

Answer

8.4 · R&D Failure and Share Prices

Problem

On August 5, 2016, *Bristol Myers Squibb* stock dropped by 17 percent after it announced that its drug failed in clinical trials as a treatment for lung cancer. The drug was already approved for treating some other types of cancer, with sales for those uses of nearly **$1 billion**. Bristol was hoping to grow the market by getting approval for additional types of cancer. The drop reduced the company's market capitalization by **$21 billion**.

Discuss the impact on the company's financial statements.

Answer